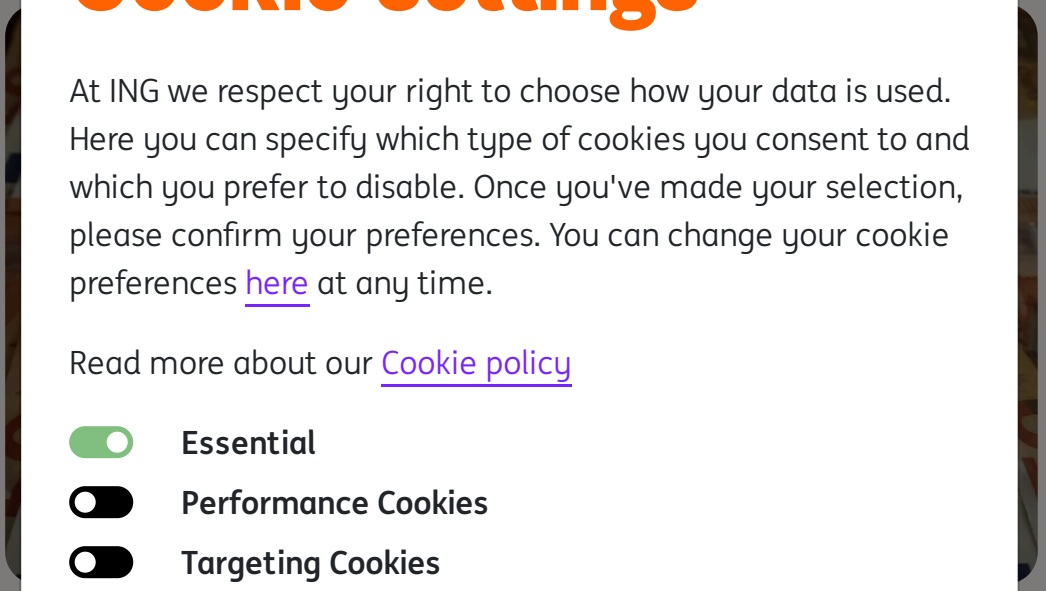
Join ING economists to explore new research that challenges perceptions of Europe's investment culture. We'll debunk some common misconceptions, examine how attitudes and behaviours are changing, and discuss what it all means for Europe's future growth. Sign up here

Marieke Blom, Carsten Brzeski, Charlotte de Montpellier, Amrita Naik Nimbalkar, Sebastian Franke, Paolo Pizzoli, Valentin Tataru a



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suggests the gap between European and US savings is smaller than often assumed, while attitudes towards investing may be shifting. Half of Europeans with savings already invest, and another 30% say they would consider doing so.

In this webinar, we'll discuss why this matters for household wealth and economic growth, what is preventing more Europeans from investing, and how attitudes differ across countries. We'll also explore what could help to unlock Europe's investment potential. Click here to sign up.

Details

Date: Thursday, 22 October

Time: 1430 BST/ 1530 CET

The webinar will last 45 minutes, including a Q&A session at the end.

The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration and you will receive a reminder email 10 minutes before the scheduled start time.

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From better fiscal headroom to surprise income tax hikes, this is how UK Chancellor John Healey's first budget could surprise investors

James Smith

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Higher debt interest costs look set to drive the level of 'fiscal headroom' from £24bn in March to £10bn. There's a growing sense that Chancellor John Healey would like to get this up to £15bn or higher. The government is set to modestly increase spending on the cost of living, though the total intervention is unlikely to meaningfully top £5bn and it's likely to be mostly billed as temporary to avoid counting against the main fiscal rule. We expect an increase in capital spending of roughly £10bn/year, bearing in mind this is exempt from the fiscal rule dictating that the current budget must be in surplus after five years. To rebuild headroom

against that rule, we expect £5-6bn of tax hikes, likely via a higher Bank Surcharge and possibly broadening the National Insurance tax base.

In short, we don't expect the budget to deliver a material stimulus (or add materially to the already-planned fiscal consolidation). The impact on the Bank of England, which is poised to hike rates in November, is likely to be fairly minimal.

But all chancellors like to keep a rabbit in their hat – and what follows are five ways it could surprise us.

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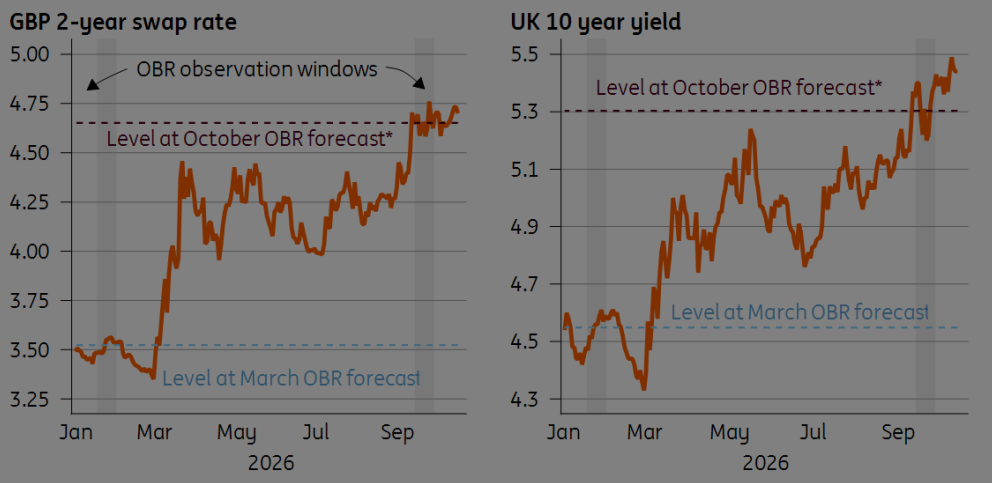
government has left under its main fiscal rule, which requires the current budget (day-to-day spending, including debt interest less revenue) to be in surplus within three years. Back in March, that surplus, or fiscal headroom, was projected at £24bn in 2029/30.

Debt interest costs are rising



*Based on the average rate in the 10 days up to 25 September, which likely represents the OBR's observation window for this budget

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growth. Will the rise in energy prices spill into higher pay, just as it did in 2022? We think it won't, not least because the jobs market is much weaker, an assessment we suspect the OBR will share.

But even relatively small upgrades to wage growth can make a big difference to the government's fortunes. Since 2010, the OBR has revised the level of earnings across its five-year forecast by an average of 1.3 percentage points in absolute terms. If it did that now, say by lifting wage growth over the next two years by 0.6ppt apiece, it would add £10bn to headroom, almost perfectly offsetting the hit from higher interest costs.

There are also reasons to think the impact of lower migration projections, which some reports suggest could wipe another £7bn off headroom via lower tax revenue forecasts, could be much less than feared. The starting point for employment looks a little higher than it did back in March. The rise in global equities this year should also be helpful for capital gains tax projections.

Why does this all matter? Because the higher the headroom, the less 'need' there is to hike taxes, and if it is significantly higher than expected, the more room there is to increase spending under the fiscal rules.

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substantially smaller real-terms budget increases across the medium term.

Even before the Iran War, government plans pencilled in real-terms cuts to per capita departmental spending in FY2029. Given some functions, like health, are 'protected', that implies much deeper cuts to smaller departments.

Suffice it to say, that is unrealistic. Higher inflation will push up the wage bill across government. It would cost £12bn to simply maintain those March departmental spending plans in real terms. That's before considering the cost of ending that austerity pencilled

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in for later this decade, or how the government will fund its defence or social care ambitions.

A top-up to government departments is inevitable – the question is when. It looks like the Treasury wants to kick the can on these tricky budget decisions until next autumn, when it plans to release its next Spending Review, a process of allocating money across departments. No doubt the hope is that debt interest costs will have fallen and the economic outlook brightened, such that there's more space under the fiscal rules to make bigger spending commitments.

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all these policy changes affect GDP growth and borrowing over the next year. If there's a material stimulus effect, it could add to market bets on UK rate hikes.

3. A manifesto break on income tax

Tax hikes are likely at the Autumn Budget, but should be very small. We're probably looking at a package of circa £5bn (0.2% of GDP). Part of the problem is that the list of viable options looks perilously small if Labour is to avoid breaking its manifesto pledge not to raise

the major taxes, which together account for around 70% of total revenue.

Our best guess is that the budget will include a hike in the Bank Surcharge (raising £2bn if increased from 3% to 8%), together with a broadening of the tax base for National Insurance to landlords and partners in LLPs (together yielding around £2bn/year). Other options, like ending a loophole on stamp duty for commercial property or lowering the VAT threshold for businesses, have also been on the table.

The problem with many of these measures is that they require

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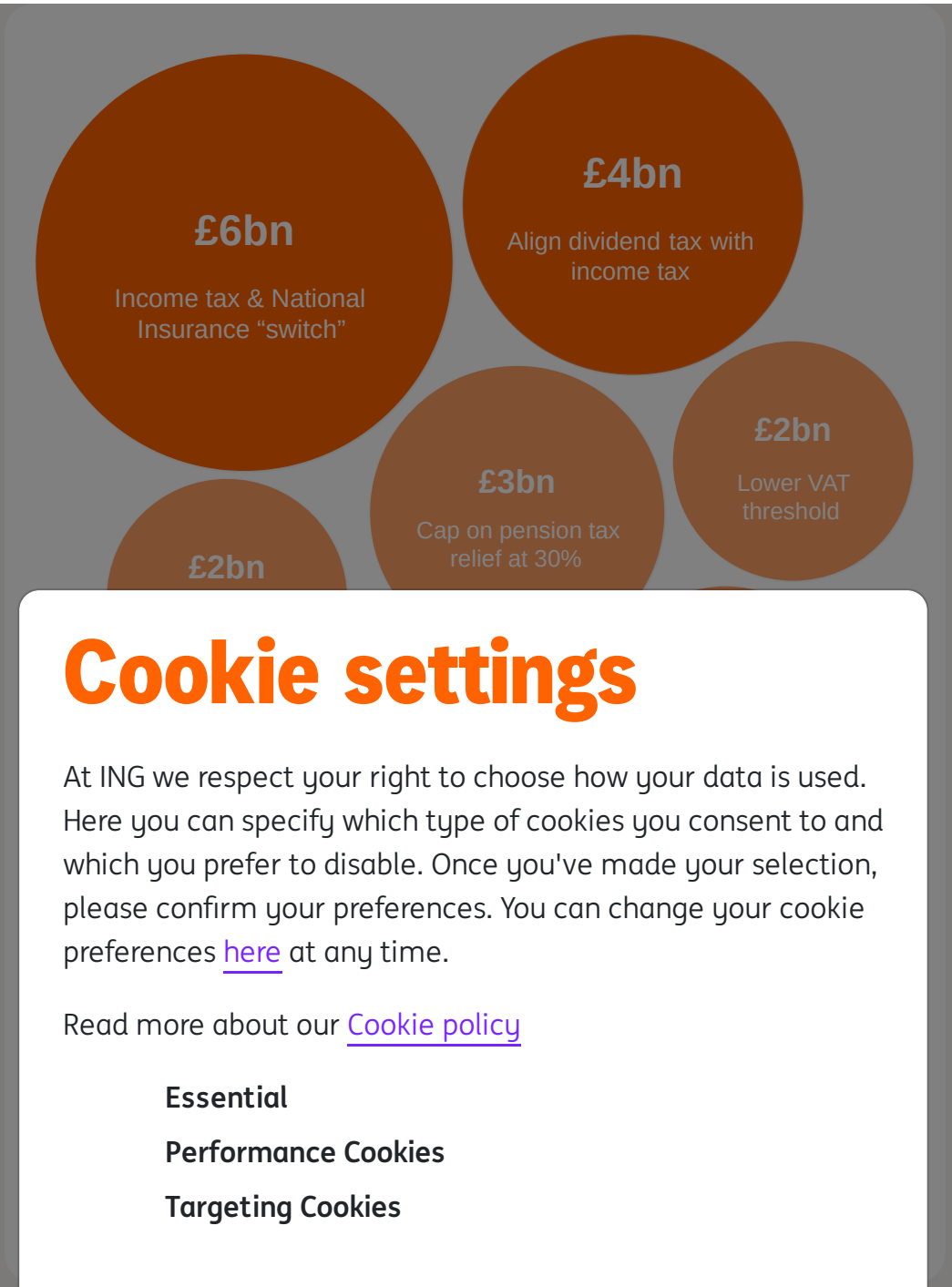

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tax – one good, one bad.

The good? A surprise announcement of a so-called ‘tax switch’, a novel proposal from Resolution Foundation which would see the government simultaneously raise basic income tax and cut employee National Insurance by 2ppt. The impact on workers would be neutral, but because income tax has a broader base (including pensions), this would raise £6bn/year.

Though not a substantial sum, it would signal to investors that Prime Minister Andy Burnham isn’t afraid to go near the thorny issue of raising taxes. But in light of recent pension changes,

including to the infamous ‘triple lock’, this feels like too much of a political gamble at this stage.

The negative surprise would be if the Treasury decided to raise the basic tax allowance. Burnham flirted with this on his first day in office; it would not only be expensive (potentially £10bn), but it would also signal that the UK’s commitment to the threshold freeze – which is doing the lion's share of the planned fiscal consolidation – is waning.

4 A big rise in the National Living Wage

The minimum wage increase in April 2027, which will be a

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to be growing recognition among Labour figures, including on the left of the party, that the big minimum wage increases, coupled with previous payroll tax increases, have had a big impact on business – particularly in consumer services.

But if the LPC were to recommend minimum wage growth of close to 5%, could the government resist it? In theory, yes. But politically, we suspect not.

5 A surge in bond issuance

We already know that bond issuance is set to increase again in 2027, though for reasons unrelated to the UK’s fiscal trajectory.

The chart below shows that in April, the Debt Management Office projected a gross financing need of £308bn, similar to the big number in FY2025. We suspect that when we get the updated DMO remit following the budget, next year's issuance could be closer to £325bn – though a greater chunk of that will likely get funded using bills, meaning the actual pick-up in gilt sales relative to those previous plans is likely to be more modest.

How debt issuance plans broke down as of March/April

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borrowing is still likely to be projected to keep falling through the rest of the decade. The major risk – related to some of the things discussed earlier, like larger near-term spending or surprise increases in tax allowances – would jeopardise this fundamental improvement in bond issuance in the medium term. That's something investors wouldn't take kindly to.

United Kingdom | Tax | Budget | Bank of England | Andy Burnham

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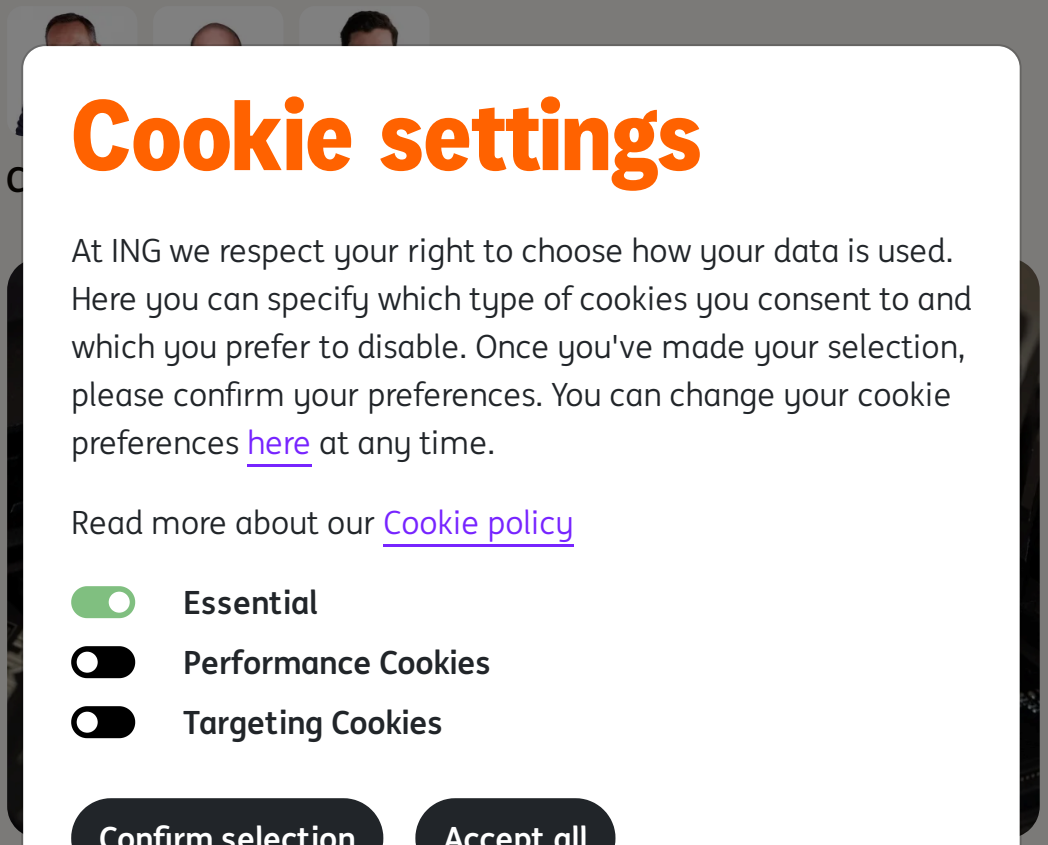
Financial markets have calmed a little after Coreweave stock bounced on Thursday. But the debate between intensifying price pressures needing tighter monetary policy and a tech correction requiring a softer policy outlook continues. Expect more consolidation in FX markets today and more interest in local stories, such as Indonesia's equity travails



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USD: What does the flatter yield curve mean?

The sell-off on Coreweave assets saw a modest reversal yesterday after Nvidia's CEO, Jensen Huang, said that Coreweave's financial strength was improving and its cost of capital was declining. Perhaps those comments should not be surprising from a major shareholder in Coreweave; let's see how long this bounce in Coreweave assets lasts. The big takeaway this week has been the recovery of the long-end of the US Treasury market, even as

inflation data continues to come in hot. Here it seems that investors are starting to find value in long-dated Treasuries and are viewing those as a middling hedge against a correction in the AI trade. Were the tech sell-off to gain momentum, that Treasury buying would move to the shorter end of the curve.

While fears of an AI correction may be growing, inflation data continues to come in hot. Yesterday it was US September PPI data blowing away consensus. And today, import prices should come in near 8% year-on-year, the highest since summer 2022. Inflation data is keeping short-dated interest rates supported and has delivered a near 20bp flattening in the 2-10 year Treasury curve t

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Today's eurozone data should see September CPI confirmed at 3.8% – well above the European Central Bank's 2% target. Markets are still reeling from the hawkish set of inflation forecasts delivered at the ECB September press conference, a key driver of the near 75bp of further tightening expected from the ECB. Our team looks for just one more hike, however, and developments in French bond markets will have a big say in whether the ECB needs to tighten much more from there.

EUR/USD has received a lift from this week's unease in US AI stocks and may be entering a decent consolidative phase now. This could be worth a move all the way to 1.1340/50. But do not expect EUR/USD to be the big outperformer on a further US equity correction. We think a lower USD/CHF would take the lead there.

Chris Turner

CEE: Wage embers and price sparks

The CEE week ends with mostly second-tier data. Hungary releases August wage figures this morning, one of the central bank's remaining domestic obstacles to achieving stable inflation. We f
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have outperformed the rest of the region over the past two days. We maintain the view that the koruna and zloty yield curves cannot decouple from the global narrative, and that higher energy prices will keep rate hikes priced in for longer. The Hungarian curve will face a test next Monday or Tuesday with the release of the draft budget for next year – an event drawing significant market attention, though expectations may be overly optimistic. FX, on the other hand, remains more or less stable, and we continue to hold our bearish views for the CEE region in general.

Frantisek Taborsky

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IDR: MSCI downgrade warning sinks local assets

In a statement that will have been a difficult read for Indonesian authorities, MSCI said overnight that it was launching a consultation to reclassify MSCI Indonesia indexes from Emerging Market to Standalone Market status. Merely dropping Indonesia to Frontier Markets would not properly recognise the depth of the market problems, says MSCI. These problems are opaque shareholding structures and suspected coordinated trading behaviour, according to MSCI.

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Rate decisions take centre stage, with Bangko Sentral ng Pilipinas expected to raise rates while Bank Indonesia and the Bank of Korea are likely to stand pat. Markets will also closely watch China's GDP and Japan's inflation figures

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Energy prices lift China’s inflation gauges in September

China’s export engine continued to hum in September

MAS holds rates steady, but we are not convinced the tightening cycle is over

AI tailwinds and inflation risks shape Asia’s outlook

China steps up policy support amid rising uncertainty

US midterm elections: 3 scenarios for markets

Indonesia: Bank Indonesia expected to hold rates

We expect Bank Indonesia to leave the policy rate unchanged at 5.75% on Wednesday given recent exchange-rate stability. Although improving sentiment has eased near-term pressure on policymakers to hike, the underlying balance-of-payments picture hasn't improved materially. At the same time, upside risks to inflation from higher fuel prices and a severe El Niño could add to domestic price pressures. We therefore still expect one more 25bp rate hike before year-end.

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of the tightening cycle. Inflation remains above target and economic growth is relatively resilient. The market will focus on the BoK's updated outlook and guidance on whether it will hike rates again before year-end.

China: Third quarter GDP and activity data in focus

China has a busy week ahead, starting with key data releases on Monday. The highlight will be China's third-quarter GDP. We look for growth of around 4.4% year-on-year. We'll also get September

domestic activity data. We expect retail sales and industrial production to recover slightly to 0.6% and 5.5%, respectively. But fixed asset investment is expected to continue contracting to -7.5% YoY ytd. The 70-city property price data for September will also be released. We'll be watching whether price stabilisation in tier-1 cities continues and spreads further. On Tuesday, the loan prime rates will be announced. We expect no change once again, with 1- and 5-year LPR unchanged at 3.0% and 3.5%, respectively.

Japan: Trade and inflation data in focus

Japan releases data on services activity, trade and inflation. Market

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Country	Time (GMT+8)	Data/event	ING	
		Monday 19 October		
China	1000	Sep Fixed Asset Investment (YoY%. ytd)	-7.5	-7,2
	1000	Sep Industrial Output (YoY%)	5.5	5,2
	1000	Sep Retail Sales (YoY%)	0.6	0,4
	1000	Q3 GDP (YoY%)	4.4	4.3
	1000	Sep Unemployment Rate	-	5,3
New Zealand	0545	Sep Trade Balance (NZD bn)	-	-1,3
Malaysia	1200	Sep CPI (MoM%/YoY%)	-/-	0.3/1.9
	1200	Sep Trade Balance (MYR bn)	-	28,1
	1200	Sep Exports (YoY%)	-	45,5
	1200	Sep Imports (YoY%)	-	41,1
Japan	1230	Aug Tertiary Industry Index (MoM%)	CF: -0.4	0.4
		Tuesday 20 October		
China	0900	Oct Loan Prime Rate 1Y	3	3
	0900	Oct Loan Prime Rate 5Y	3.5	3,5
Taiwan	1600	Sep Export Orders (YoY%)	63.9	71,4
		Wednesday 21 October		
Japan	0750	Sep Exports (YoY%)	CF:20.1	19,3
	0750	Sep Imports (YoY%)	CF:20	28
	0750	Sep Trade Balance (JPY bn)	CF:-111	-1112
Indonesia	1530	Rate Decision	5,75	5,75
		Thursday 22 October		
New Zealand	0545	Q3 CPI (QoQ%/YoY%)	-/-	1.5/4.1

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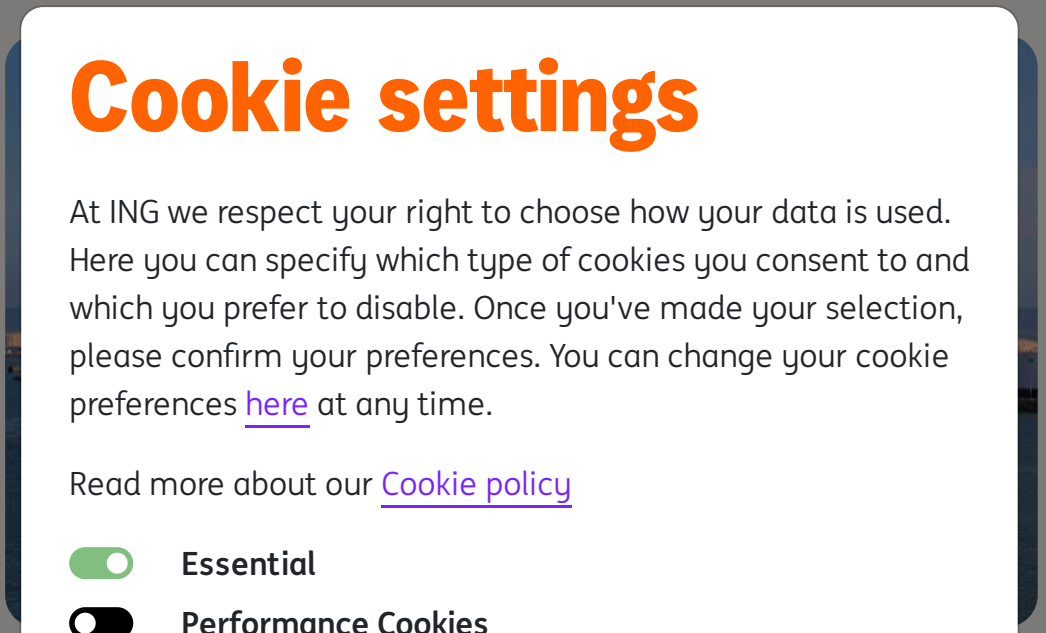
Oil is holding firm as Middle East tensions refuse to cool. Meanwhile, IEA members agreed to release the rest of the emergency stockpiles they pledged earlier this year

Warren Patterson and Ewa Manthey



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the session, then claw back most of those losses by the close. As a result, ICE Brent continues to comfortably trade above $100/bbl. Uncertainty in the Middle East and concerns over the sustainability of oil flows through the Strait of Hormuz has the market pricing in a significant risk premium. The longer this pickup in flows continues, the more likely the market will start giving back some of this risk premium. In order to see a full removal, there needs to be some kind of agreement between the US and Iran. This would provide the market with more confidence that stronger oil flows from the region will continue.

International Energy Agency members agreed to release the remaining 100m barrels of oil from strategic reserves. It's part of the initial 400m barrels that members agreed back in March to help with the Persian Gulf supply shortfall. According to the IEA, members have distributed around 330m barrels to date. From the 100m barrels to be released, 20m barrels will be diesel, and will make its way onto the market as soon as possible. The US probably won't be happy with the scale of the release, particularly regarding diesel. Initial suggestions were that we could see around 50m barrels of diesel released. The risk is that if the US believes these volumes are not enough, the administration may mull restrictions o

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played part in the inventory decline, with offshore production shut in due to the storm. US output is estimated to have fallen by 300k b/d week-on-week. Crude oil imports fell by 791k b/d WoW, a key driver behind the fall in stocks. For refined products, US refineries increased their utilisation rates by 0.8pp to 93.5%, leaving utilisation rates at their highest seasonal levels in at least 20 years. Despite this, distillate fuel stocks still fell by 2.53m barrels over the last week. This leaves distillate inventories at record seasonal lows as we head into winter. Meanwhile, gasoline stocks increased by 3.52m barrels.

Metals — Iron ore breaks below $90... briefly

Iron ore prices fell briefly below $90/t yesterday, the lowest since November 2022, as weak Chinese demand and abundant global supply continued to weigh on sentiment. Prices have declined more than 14% this year, pressured by the prolonged weakness in China's property and construction sectors. This is undermining steel demand. China's crude steel production during the first eight months of 2026 fell to its lowest level for the period since 2018, highlighting the impact of the country's real estate downturn. With steel mills operating on thin margins, further production cuts

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more than 1% higher amid firmer demand numbers. Data from the European Cocoa Association showed European cocoa grindings rose 3.2% year-on-year and 10% quarter-on-quarter to 348.2kt in 3Q26, marking the first annual increase since 2Q24. Similarly, the Cocoa Association of Asia reported a 29.2% YoY increase in grindings and a 4.1% QoQ rise to a record 233.8kt.

In its monthly update, the International Grains Council (IGC) raised its 2026/27 global corn production forecast to 1,307mt from 1,301mt, while consumption was revised up to 1,323mt from 1,321mt. This saw global corn ending stocks increase to 297mt

from 289mt. For wheat, the council left production unchanged at 820mt but marginally increased consumption to 827mt from 826mt. Despite the higher demand estimate, wheat ending stocks were revised up to 279mt from 278mt. For soybeans, 2026/27 global ending stocks were raised to 74mt from 73mt as weaker demand (-3mt) more than offset lower production (-1mt). Global soybean production is still projected to reach a record 439mt, supported by large crops in the US and South America.

Tanker | Steel | Softs | Russian sanctions | Persian Gulf

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We think the US 10yr stays above 5%, and in fact heads back up to 5.25%. That won't help the eurozone, which continues to grapple with the problem that is France. Probably overdone, but far from over

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But don't get too comfortable

Treasury market moves of late have been quite something. There were buyers in the 5.3% area post the CPI release on Wednesday. Then the Asian open coincided with some large falls in equities, with a particular focus on Korean equities, which prompted some follow-on buying of Treasuries. Note, however, that there have been decent buyers of Treasuries on an ongoing basis in the past number of weeks. It just has not translated into a meaningful move lower in yields, mostly as it had been offset by net shorts on Treasury futures. We've been overdue a reversal.

That said, we're not convinced this is a structural move, and we'd be quite surprised if we were to break below 5% on the 10yr yield. Treasuries did not react much to Thursday's data, but market participants will be aware that we had another good (low) jobless claims number, retail sales were firm and PPI inflation uncomfortably high. The market will likely use this as a platform from which to rebuild higher in yields over the weeks ahead, and into the mid-terms; especially with neither side voicing an intention to take action on the fiscal deficit. The issues of high printed inflation and a high deficit remain.

The balance of probabilities suggests there is at least one more leg o
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area to the 120bp area. And French spreads to Germany are practically as wide as they've ever been since the dawn of the euro, even versus the immediate pre-EMU years. The safe narrative to reach for is the debt dynamics one, and the lack of ambition to correct it. Made worse, in fact, by the political options being offered for 2028.

This is probably overdone, as a swing to the right (should it occur) could have some tail positives that aren't currently properly discounted. Look at the improvement seen in Italian spreads following the rise of Prime Minister Giorgia Meloni. It's been gradual

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but persistent, and has not been overly impacted by French concerns. In that sense, the Italian response has been low beta in characterisation, which is good.

In fact, the first real bout of widening in French spreads can be traced back to President Emmanuel Macron's election gamble of mid-2024. Things subsequently calmed, but were not forgotten. The recent spike is an amplification and extension of an underlying tension that has not gone away. So, overdone? Probably, yes. But we also remain in a danger zone for bonds generally. Just like in the US, more overshoots to the upside are entirely foreseeable.

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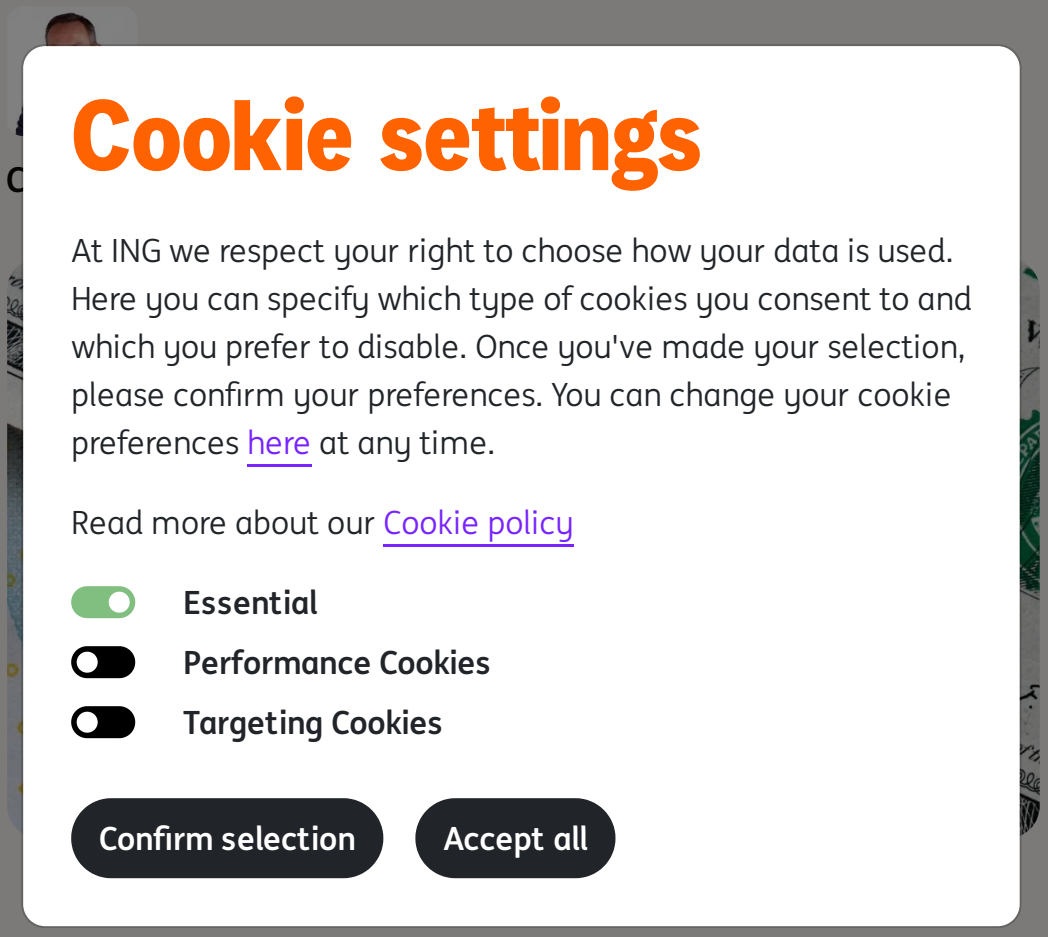
We see limited scope for a near-term EUR/USD rebound. Key factors for EUR/USD now are a hawkish Fed and a re-pricing of the ECB cycle on French fiscal concerns, which have sent rate differentials to their widest levels since 2022. Neither of those factors appears set for an imminent reversal, leaving EUR/USD to languish in a new 1.10-1.15 range



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Dollar enjoys some cyclical strength

We see EUR/USD remaining in a 1.10-1.15 range over the next three to six months, as persistent US rate support and concerns over French debt keep real rate differentials tilted against the euro.

It is hard to believe that EUR/USD traded above 1.20 in January. Those fears of the dollar losing its safe-haven status as European investors reacted to egregious US foreign policy have dissipated this year as US cyclical strength has become more evident. There are no signs of international investors leaving US markets, and by our

calculations, foreigners have kept their share of US bond and equity markets steady at around 20%.

As we argued at the time, 'sell America' moments have occurred in the past and tend to be short-lived. Correlations now suggest the dollar is playing its safe haven role again.

That dollar vulnerability at the start of the year was backed by a weak US employment story and the prospect of further easing. Today, the Federal Reserve is faced with a solid labour market, above-target inflation and the prospect of taking policy into mildly restrictive territory. While we are not looking for the central bank to d
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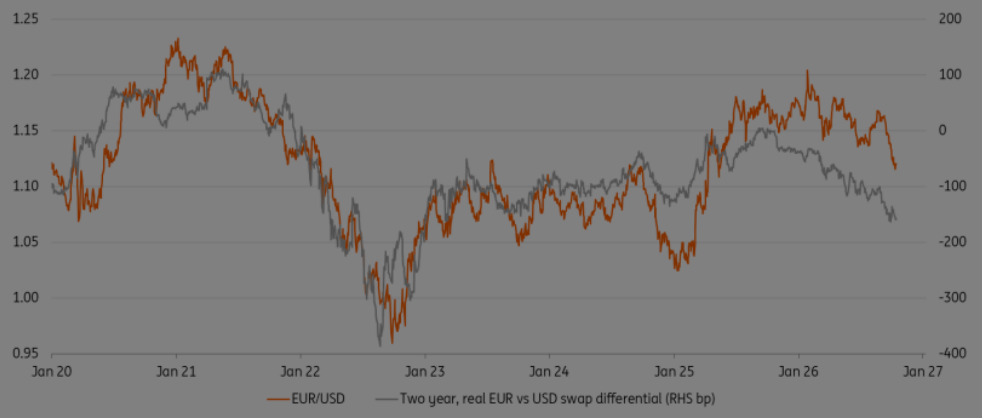
In all, we now see EUR/USD staying offered in a 1.10-1.15 range over the next three to six months, with downside risks should a sharp deterioration in the French debt story demand a greater risk premium for the euro.

Real rate differentials move to 2022 wides



Source: Refinitiv, ING

What could hurt the dollar?

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come under pressure as investors raise hedge ratios again.

On the subject of the midterms, the base case of the Democrats winning the House looks unlikely to move FX markets much. But a Democratic clean sweep of Congress, and what it means for a potential government shutdown, regulation, and constraints on the AI build-out, could prove a cyclical negative for the dollar.

FX

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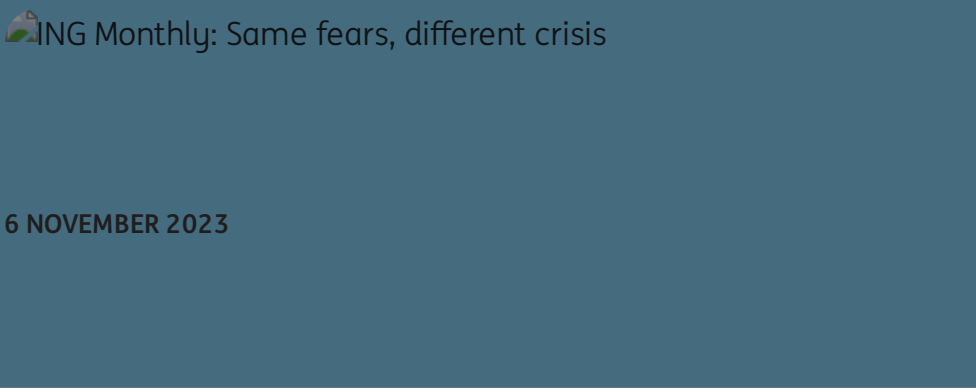

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We've managed to get through a week without mapping out new multi-decade highs in various long yields and spreads. That's great, but we'd not get too comfortable. Many of the drivers of prior stresses remain in play. And muddy developments in the Ukraine and Iran wars make for difficult interpretation – enough to keep us all on edge, at least

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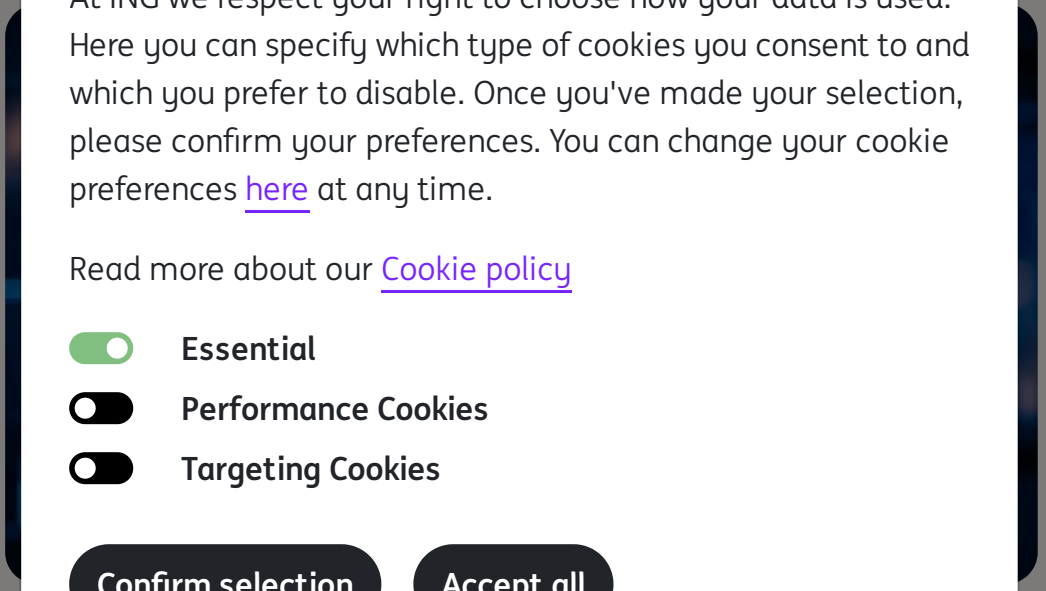

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The mood for US Treasuries has calmed. But don't get too comfortable

Long-end yields have calmed in the past week or so. But pressures remain. The medium-term issuance narrative stemming from fiscal largesse remains. That's the 'bad'. Then there's the 'ugly', in the guise of energy price pressure stemming from the Iran war. That has coincided with higher printed inflation. Arguably, this is the biggest direct impact, as it has prompted central bank rate hikes. And there is the 'good'. Higher real rates have been an important driver, and a part of this likely incorporates AI-driven productivity growth. If that last part was the central driver, we'd have little to

worry about. But it's the other, more sinister factors that have predominantly sparked long-end market jitters.

The balance of probabilities suggests there is at least one more leg of long-end weakness still to play out. This could take the US 10-year yield back into the 5.25% to 5.5% range. Other markets would likely move in tandem, mapping out similar, albeit less dramatic, blow-outs. With 5.25% looking like a mean-reversion level, we think the US 10-year yield could overshoot towards 5.5% and remain elevated for a number of months as bond market jitters persist. This could quite easily extend into the first quarter of 2027.

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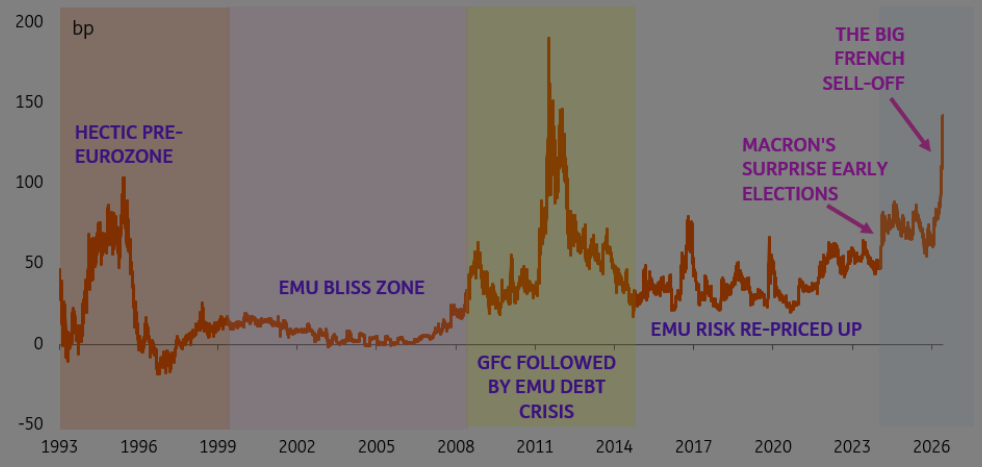
The big French widening

France 10yr yield spread over Germany 10yr yield



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The eurozone remains in the throes of an uneasy holding pattern at dodgy levels

The focus in the eurozone is increasingly insular, with France front and centre and setting the mood. Here too, there has been some market stability – but at uncomfortable levels. The standout move has been a doubling of the French 10yr swap spread from the 60bp area to the 120bp area. And French spreads to Germany are practically as wide as they've ever been since the dawn of the euro, even versus the immediate pre-EMU years. The safe narrative to reach for is the debt dynamics one, and the lack of ambition to

correct it. Made worse, in fact, by the political options being offered for 2028.

This is probably overdone, as a swing to the right (should it occur) could have some tail positives that aren't currently properly discounted. Look at the improvement seen in Italian spreads following the rise of Prime Minister Giorgia Meloni. It's been gradual but persistent, and has not been overly impacted by French concerns. In that sense, the Italian response has been low beta in characterisation, which is good.

In fact, the first real bout of widening in French spreads can be t
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Although the inflation outlook remains favourable, the Monetary Council will likely err on the side of caution at the 20 October meeting, amid uncertainty surrounding the 2027 budget and prevailing risk sentiment. However, we still expect a rate cut by year-end

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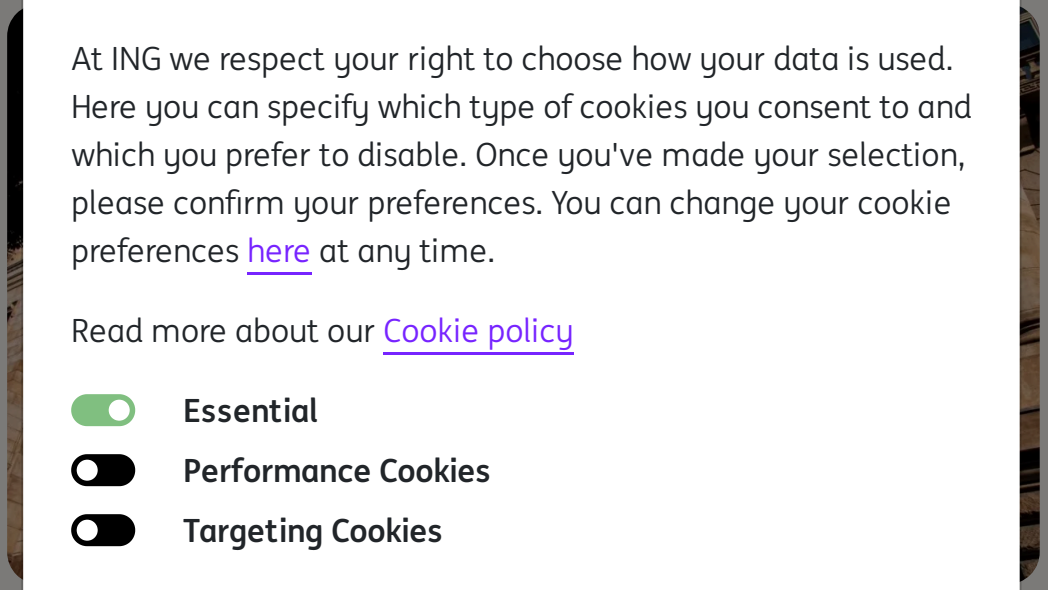

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Our call

The National Bank of Hungary (NBH) picked the cautious option last month, keeping the base rate unchanged. We haven't seen enough of a change since the September rate-setting meeting to think that this time will be different. Central bank representatives have repeatedly pointed to two key developments, and neither of them is inflation.

The inflation situation remains benign, shifting the focus to the 2027 draft budget and the medium-term fiscal consolidation plan. While the government handed the budget to the Fiscal Council on

15 October, the details are not yet public. The timing puts the central bank, and especially Governor Varga, in a delicate position. The Fiscal Council has three members: the chairman, the president of the State Audit Office and the governor of the National Bank of Hungary.

This means Varga and the NBH staff will have information on the 2027 budget, but it would look ill-advised to make a monetary policy decision based on it before the details enter the public domain. We wouldn't rule out the Fiscal Council publishing its opinion before the rate-setting meeting, followed by an announcement from the Ministry of Finance. Still, that won't leave e
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budget plans and inflation hovering around 2.0-2.5% YoY in early 2027, we expect further easing to follow. We forecast a terminal rate of 4.25% next year.

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Our market views

Hungary remains the key CEE story, with by far the largest long positioning across asset classes, driven by the idiosyncratic post-election narrative and prospects for euro adoption. Currently, the primary market focus is on fiscal policy and the draft budget for next year, rather than on monetary policy itself. In our view, market expectations regarding next year's fiscal deficit are shifting

downward, and we believe that an excessive degree of optimism has already been priced in. Consequently, it will be difficult for the government to deliver a positive surprise, even though the overall narrative is clearly moving in a positive direction.

Given the global situation and massive long positioning, markets appear fragile; from our perspective, it makes little sense for the NBH to test the market in such an environment. Market pricing points to one additional rate cut, assuming that BUBOR returns to a level above the key policy rate by the end of the easing cycle. With global energy prices hitting new highs, it would not be surprising if the market were to price out these remaining bets on rate cuts,

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lows, suggesting that a significant amount of good news is already priced in. Regarding bonds, historical precedent indicates that the spread should settle in the 50-120bp range by the time of entry into ERM II. Currently, the spread has just hit 200bp, yet we are still more than two years away from ERM II entry. Overall, while the underlying narrative remains bullish, we prefer to buy on dips at this stage.

Some background

Inflation developments remain supportive from a monetary policy perspective. Despite the global energy shock, headline inflation has

remained subdued, inching up to just 1.6% YoY in September, while core inflation ticked down by 0.1ppt to 1.9% YoY. We expect price growth to remain below the central bank's target for the rest of the year and throughout the first half of 2027.

The forint has proved more resilient to recent global sell-offs than in previous episodes. While EUR/HUF briefly approached 370, this level proved to be a hard ceiling. After the volatility seen in early October, the forint regained its footing and strengthened below 364 again. We believe this partly reflects elevated expectations surrounding the fiscal plans, with markets anticipating a frontloaded consolidation and a deficit target below 5% of GDP in 2027. While t
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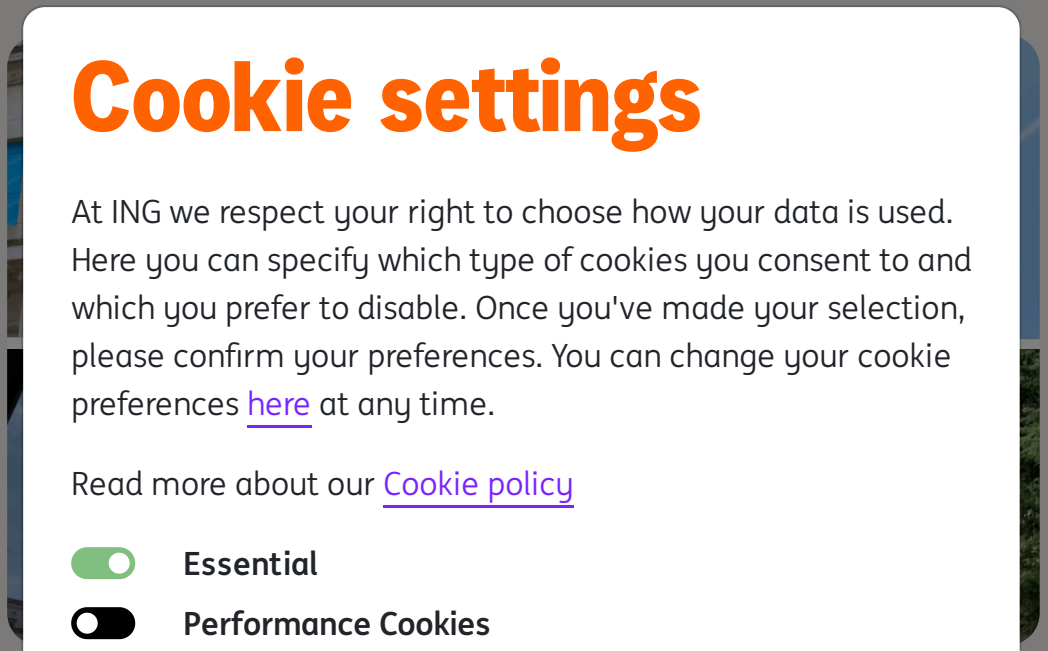
Our take on what could be next for the Federal Reserve, the European Central Bank, the Bank of England and the Bank of Japan over the coming months

James Knightley, Carsten Brzeski, James Smith and Chris Turner



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hikes, while four of 18 thought they would need to raise rates at both the October and December meetings. The other 12 all expected one further rate rise this year.

Senior Fed officials have since suggested that they can take their time on rate hikes with no need for moves at consecutive meetings, which means October's FOMC meeting is widely expected to see policy left unchanged. We, like the market, expect a 25bp rate hike at the December meeting given inflation remains elevated and unemployment is low.

Nonetheless, the move higher in Treasury yields and the stronger dollar are contributing to tighter monetary conditions, which will weigh on growth. Given our inflation and jobs projections, we do not expect additional policy tightening in 2027, despite the market pricing in a further 50bp of hikes.

European Central Bank

A resilient eurozone economy and increasing headline inflation remain strong arguments for yet another ECB rate hike. Not necessarily at the October meeting, as the ECB prefers having the quarterly staff projections in its briefing notes when deciding on i
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growth and inflation as an additional 25bp rate hike.

For France, it's closer to a 50bp hike. With bond markets doing the ECB's job, some central bank officials might be less keen to continue hiking than they were at the September meeting.

Bank of England

We now expect two rate hikes from the Bank of England – in November and February. Until now, the Bank has cast its decision not to cut rates, as implicitly planned before the Iran War, as de

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facto tightening. But recent comments suggest it increasingly feels it needs to act.

The Bank's November inflation forecasts are likely to show CPI briefly above 4%, and that is likely to be the catalyst for a hike, citing previous research that inflation at these levels is historically more likely to trigger second-round effects.

But the case for hikes is still not compelling. With the jobs market still relatively cool, we're sceptical that wage growth is likely to react to higher energy prices anywhere near as much as it did four years ago. Interest rates are also more evidently restrictive than they are in
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monetary policy to provide some credible macro support to July's joint US-Japan intervention in the yen.

We see risks that the next hike could be pushed back into January, however. This allows the BoJ a little more time to monitor the economy. Prime Minister Sanae Takaichi's government remains set on a domestic demand push, and we have a slight preference that the next two hikes are backloaded into January and April, right before the consumption tax rate on food is cut to 1% from 8%.

Central banks

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Oil prices remain firm despite rising supply from the Persian Gulf. We expect oil prices to trade lower into year-end. More positive signs of a potential US-Iran deal would give us more confidence in this view. Meanwhile, European gas looks vulnerable heading deeper into the heating season

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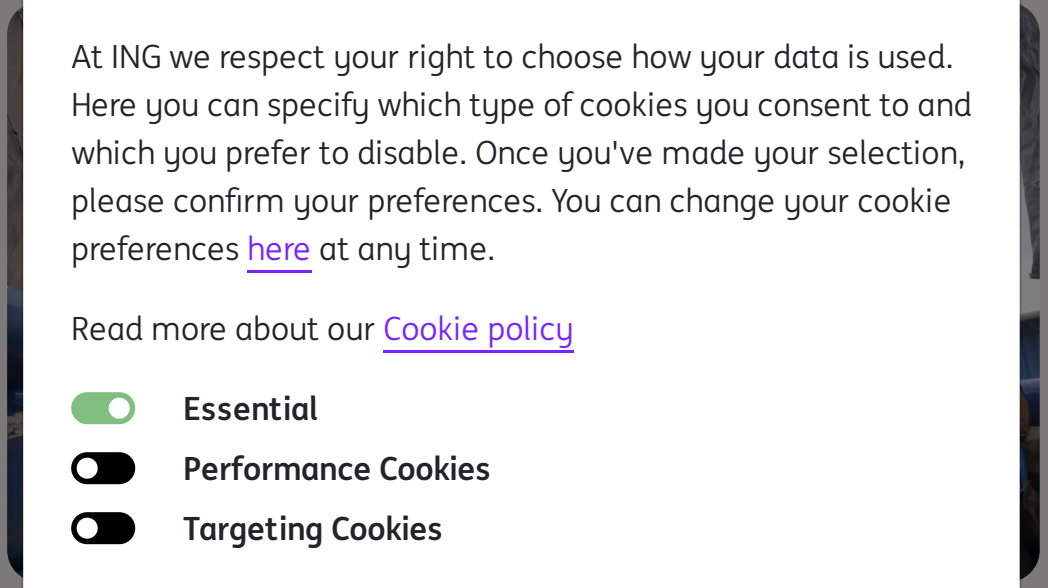

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Persian Gulf oil flows pick-up

There are few signs of de-escalation in the Middle East. If anything, it appears as though the conflict is broadening, with the Houthis in Yemen increasingly targeting Saudi Arabia. Despite little improvement in the geopolitical environment, oil flows from the Persian Gulf have been trending higher with supply from the region returning to 70-75% of pre-war levels, although there are some estimates suggesting we could be back to as high as 80-90% of pre-war flows.

The fact that oil prices are well-supported despite the improvement in flows from the region appears to reflect concerns over how sustainable this supply is, particularly when considering the geopolitical backdrop. The market continues to price in a large risk premium in the absence of a deal between the US and Iran. And to see this risk premium erode, the market may need the comfort of a deal. Failing that, time may be enough for oil prices to trend lower, assuming supplies from the region continue to hold up. For now, we are holding onto our 4Q26 Brent forecast of $80/bbl and FY27 forecast of $71/bbl. However, given the high level of uncertainty, this is a low-conviction call, specifically for 4Q26.

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are likely to remain elevated.

Natural gas vulnerable heading into heating season

European natural gas prices have traded at their highest level since December 2022, with supply concerns growing as the region heads into the heating season. Unfortunately for the natural gas market, we have not seen a similar recovery in LNG flows from the Persian Gulf as we have with oil. Therefore, LNG flows from the region remain down about 80% year-on-year. The market is increasingly

accepting that Persian Gulf LNG could remain largely absent from global markets for much of the Northern Hemisphere winter. This means Asia and Europe will continue competing for spot cargoes throughout the winter, keeping prices well supported and leaving the market vulnerable to further spikes.

European gas storage remains a concern, at just under 75% full, well below the five-year average of 89%. Low storage has seen the German government instruct state-owned SEFE to buy and store an additional 8TWh of natural gas by 15 December. The prospect of essentially forced buying provides further support to the market.

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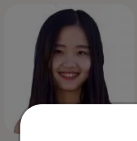
As climate risks have a larger impact on supply chains, the need to finance resilience-building initiatives is increasing. Banks have an important role to play by expanding their financing toolkit, while companies with proactive resilience strategies can gain greater access to capital



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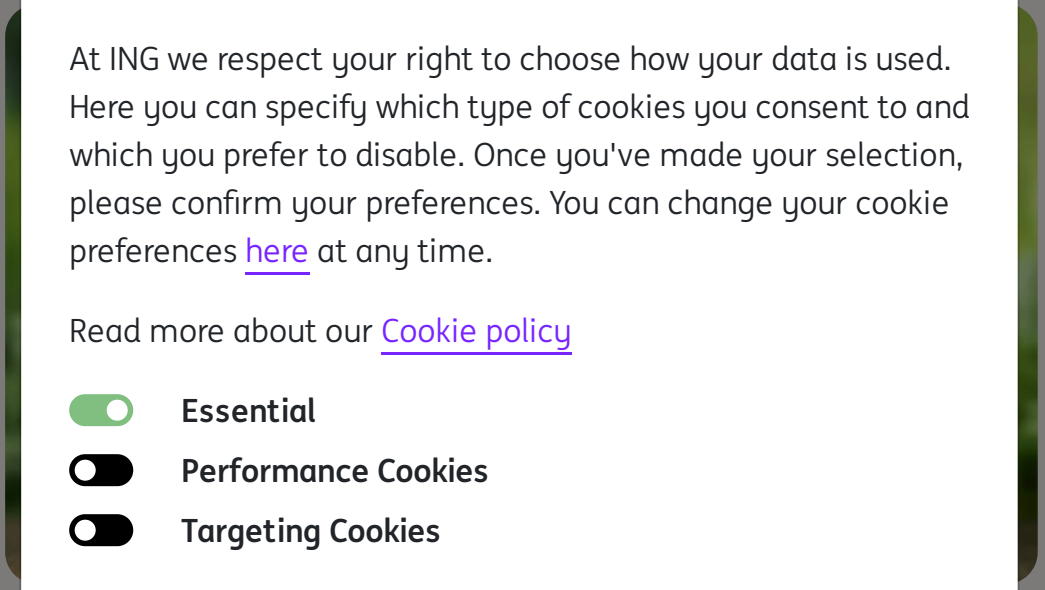

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Climate and weather-related shocks are a growing source of supply chain risk. In August, the Rhine River's water levels hit a record low since 1880, hindering trade flows across Europe. In 2024, Hurricane Helene affected global tech and medical supply chains by flooding key ultra-pure quartz production facilities in the US. The upcoming "very strong" El Niño could substantially disrupt temperature and precipitation patterns across the globe next year, putting, for example, food production and trade at risk.

These events underscore the need to build supply chain resilience. Extreme weather is now a more impactful part of the supply chain

risk landscape alongside geopolitics and other risks.

Yet significant gaps remain. First, while the awareness of supply chain climate risks is rising, many companies have yet to acknowledge their financial materiality. Second, the uptake of financing solutions has not kept pace with supply chain resilience needs, despite trade finance supporting around 90% of global trade. This leaves financial institutions well positioned to expand financing solutions that support corporate supply chain resilience. Below is how they can do it.

Expanding banks' toolkit for supply chain r

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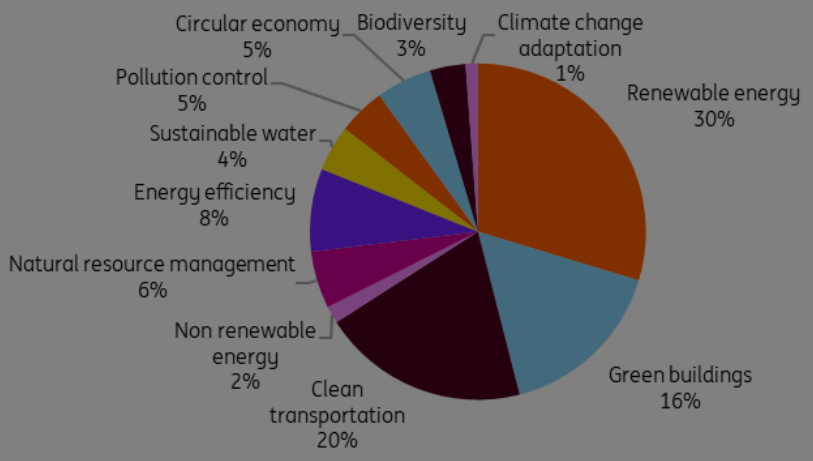
Global green bond use-of-proceeds allocation, January-August 2026



Source: ING Research, BloombergNEF

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- The traditional supply chain and trade finance solutions can be tailored to integrate resilience objectives. For example, guarantees can support cross-border trade in climate-resilient goods, while preferential financing terms can reward companies that actively manage supply chain risks. By incorporating supply chain risk assessments into financing programmes and linking working capital solutions to supplier resilience, these products can help companies better withstand disruptions and support long-term growth.

- **Climate and resilience tech finance**

- Banks can provide financing and advisory services to help scale and deploy technologies that strengthen supply chain resilience. Examples include water management technologies, regenerative agriculture, and indoor farming. These solutions can improve the upstream supply chains of industries such as food, beverage, and hospitality. As interest in resilience technologies grows, financial institutions are increasingly developing tailored financing solutions to support their adoption.

- **Blended finance**
  - Some resilience technologies, projects, and markets may

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As banks work to expand their financing offerings to enhance supply chain resilience, companies would benefit from doing their part as well. My colleague Rico Luman has written about some best practices companies can adopt in their day-to-day operations. These include building up inventory of high-risk supply materials, diversifying suppliers and transport routes, and improving supply chain visibility. Financing solutions that link resilience to working capital, for example, can help companies strengthen these efforts.

Companies can also look beyond day-to-day operations and invest in longer-term resilience initiatives, such as climate-resilient materials, water management technologies, and other adaptation s
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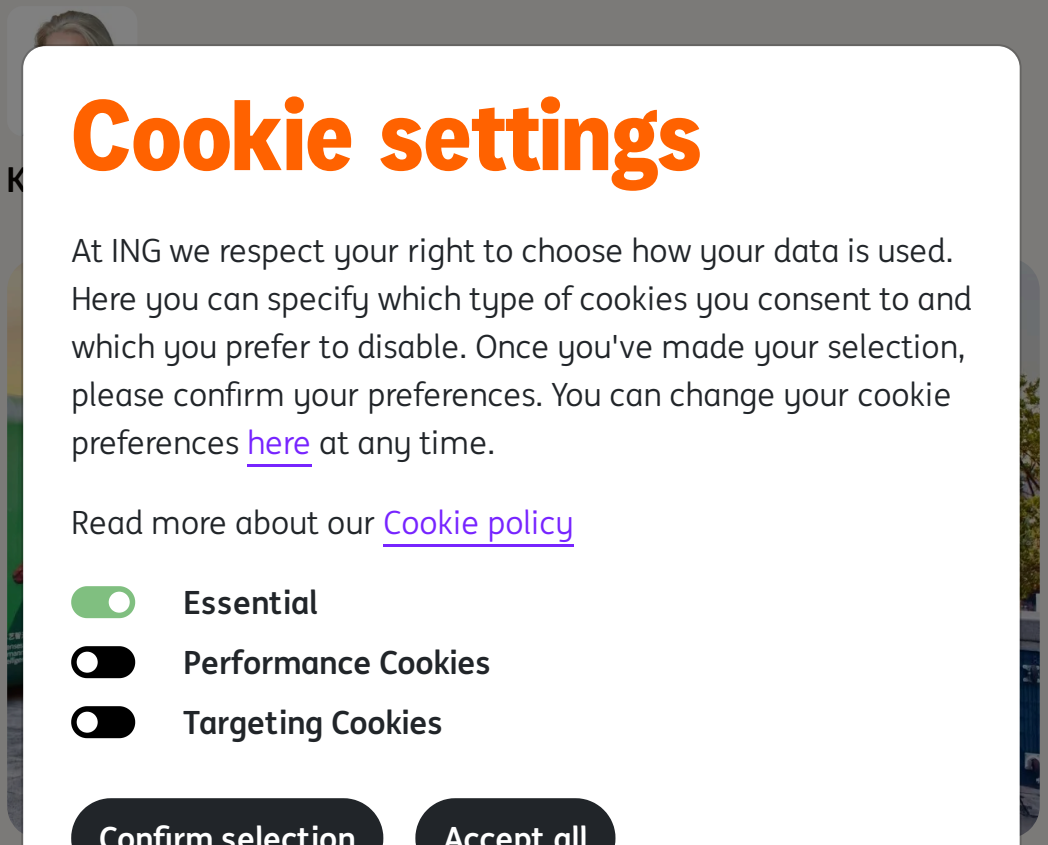
Agentic commerce, where autonomous AI agents independently select and purchase products on behalf of consumers, is forcing retailers to rethink their role. As AI takes over more of the buying process, physical stores are evolving from a sales channel into a destination for advice, service, experience, and omnichannel support



how consumers shop

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Agentic commerce fundamentally changes the buying process

Retail is entering a new phase of digital disruption. E-commerce has already transformed *where* consumers shop; agentic commerce is set to change *how* they shop. Autonomous artificial intelligence agents can search, compare and purchase products on behalf of consumers, shifting shopping from an active task to an increasingly automated background process.

Agentic commerce goes beyond AI assistants and comparison websites

Key differences between agentic commerce, AI assistants (such as ChatGPT and Gemini) and comparison websites

	Agentic commerce	AI assistants	Comparison websites
Role in customer journey	Actively manages parts of the customer journey	Provides information and recommendations	Helps consumers compare products and prices
Degree of autonomy	High: can execute tasks independently	Low to medium: provides recommendations	None
Decision-making role	Makes decisions	Decisions remain with	Decisions remain with

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optimal time to buy.

Adoption is likely to be slower for luxury, trend-sensitive and experience-driven products. In these categories, inspiration, emotion, and personal preference remain central to the purchasing decision, making consumers less inclined to relinquish control. AI agents can assist by pre-selecting products that match predefined preferences, but final purchasing decisions are likely to remain firmly in the hands of the consumer.

Consumer electronics and personal care lead the adoption of agentic commerce

Within non-food retail, agentic commerce appears particularly well suited to consumer electronics and personal care. Both sectors are characterised by a high degree of product standardisation and a large share of repeat purchases, making them ideal candidates for AI-driven purchasing.

In consumer electronics, purchasing decisions are often based on objective and easily comparable criteria, including price, technical specifications, and availability. This makes products such as t
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Product categories most and least suited to agentic commerce

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Segment	Suitable for agentic commerce	Products most suited	Products least suited
Consumer electronics	High	Standardised products with clearly measurable specifications.	Hobby-related products and more complex products that require expert advice
Personal care	Medium to high	Routine and repeat purchases	New product launches, fragrances and highly personal products
Fashion	Medium	Basic apparel (t-shirts and socks)	Trend-driven and luxury fashion items
Home furnishings	Medium	Functional furniture, replacement purchases, and products with clearly measurable features.	Trend-driven products, customised products, and decorative items

Source: ING Research

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Chinese platforms lead adoption

Agentic commerce creates the greatest opportunities for large global marketplaces and technology companies. These players combine vast product assortments with the scale, data and infrastructure needed to deploy AI agents effectively. Their integrated ecosystems, including payment solutions, logistics networks, and data platforms, enable them to integrate AI agents into their business operations faster and more effectively.

Chinese platforms such as Alibaba and JD.com currently lead the way, with AI agents already deeply integrated into their respective platform networks. These agents can not only provide product

recommendations but also complete purchases autonomously. Meanwhile, US technology companies including Amazon, Google, Meta, OpenAI and Anthropic are investing heavily in the development and rollout of AI agents, intensifying the global race for leadership in this emerging market.

European players are structurally lagging behind their American and Chinese competitors. Stricter regulation and less integrated platform networks limit their ability to bundle scale, data and services. While Zalando is among Europe's frontrunners in AI-powered retail, its applications are currently focused on product discovery, comparison, and selection. Fully autonomous p

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their role is changing

How will the role of the physical store evolve in an AI-driven retail landscape?

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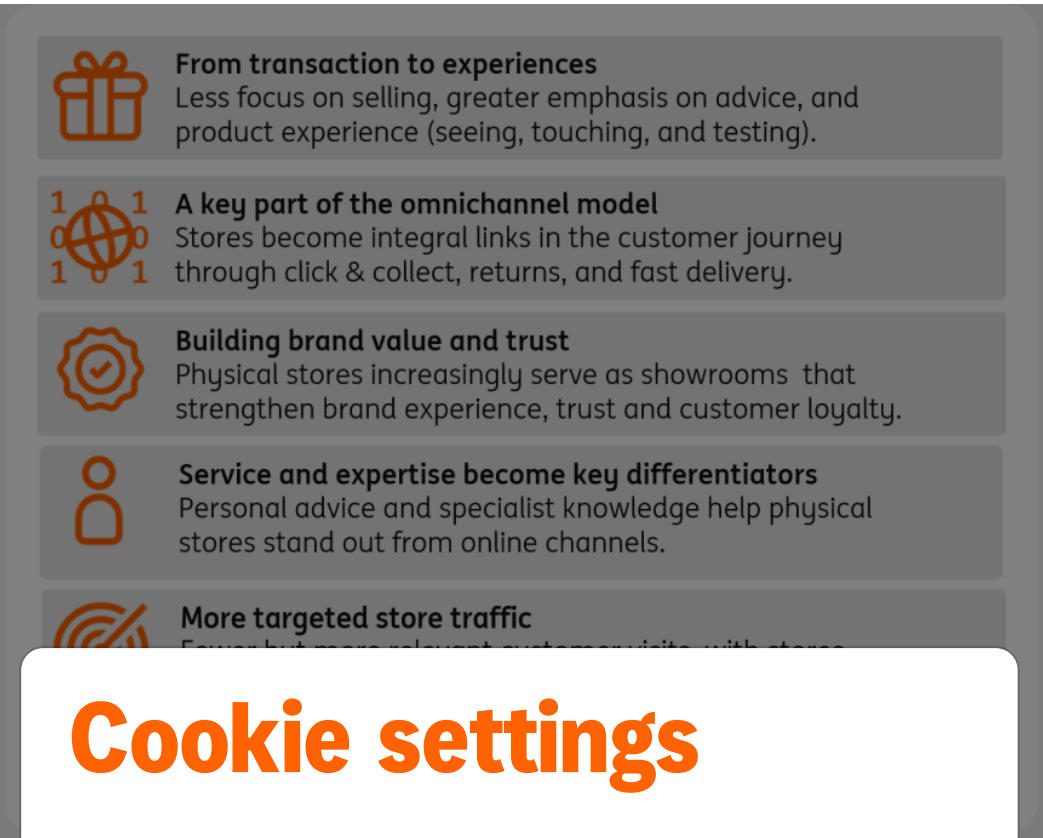

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Retailers that successfully integrate their physical and digital channels, define clear roles for their stores, and deploy technology strategically can strengthen their position within the customer journey. In a future shaped by AI-driven commerce, their role will increasingly centre on adding value where automation cannot.

Retail | Consumption | AI

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Crude tanker rates have hit all-time highs amid the prolonged Iran war and Strait of Hormuz disruption. Restructured oil flows and a rush for capacity to handle oil transport operating under military protection have driven rates sharply higher, adding further pressure to fuel prices alongside strong refinery margins

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Tanker shipping thrives in risky waters amid a continued capacity squeeze

Oil tanker markets sit at the centre of geopolitical turmoil, and this year that has translated into record-breaking freight rates as the conflict in the Middle East drags on. Tankers have been caught up in sanctions regimes and repeatedly targeted in key shipping lanes, including the Strait of Hormuz, Bab al-Mandeb and the Gulf of Aden.

At the same time, demand for tanker capacity has surged as traders seek alternative routes and sources of supply, including

increased shipments from the US. The opening of a protected corridor through Omani waters has enabled additional crude exports and vessel movements, but has also placed further strain on an already stretched market. Shuttle services now operate around the Strait of Hormuz, with under the radar activity and ship-to-ship transfers taking place outside the chokepoint.

The conflict and tanker seizures in the Persian Gulf erupted at a time when the market was already facing a shortage of capacity. New deliveries of crude carriers slowed sharply following a record-low order book in 2022-23, while an increasing number of older and smaller vessels joined Russia's shadow fleet, further reducing the p

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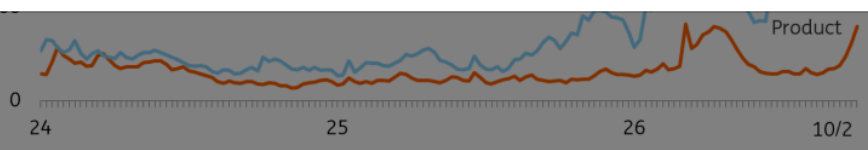

Source: Clarksons, ING Research

Crude tanker earnings rose tenfold on rush for capacity

The capacity squeeze, combined with operating in risky war zones and facing highly elevated insurance premiums, has sent tanker rates soaring. We have seen previous surges in this volatile market,

such as in 2022 after sanctions were placed on Russia, but this spike is beyond levels ever seen before.

Average global crude vessel earnings exceeded an unprecedented level of $500,000 per day, 10 times the 2025 average, in early October. For Suezmax tankers and very large crude carriers (VLCCs, with a maximum capacity of 2m barrels) alone, rates surged even beyond that. Crude shipments from Ras Tanura in Saudi Arabia to Rotterdam made up about $2/bbl in 2025; in September, this surged beyond $35. Combined with high refinery margins (the current crack spread of diesel in Europe is about 2.5 times the 2025 average), this could add over $0.50 to the base price of a litre of d

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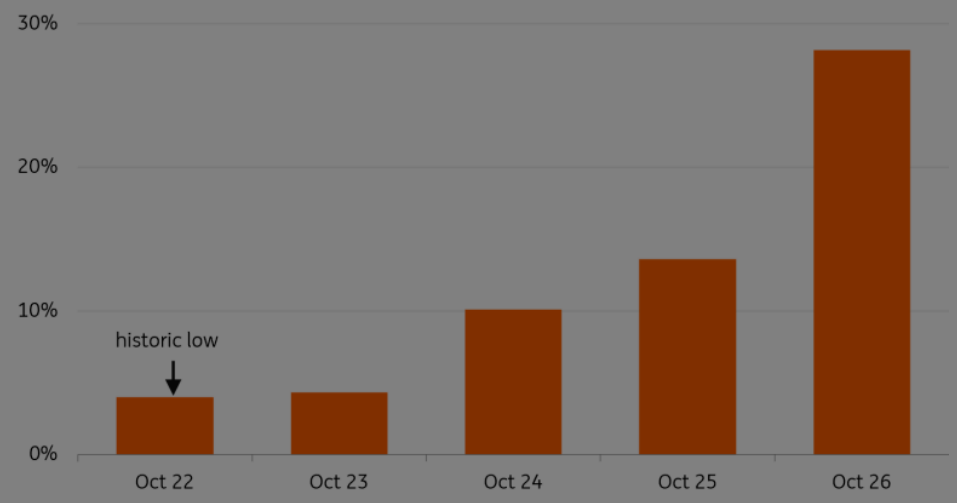

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delivered in 2028-29, likely after the current boom ends. It's all about geopolitics and how the Middle East conflict evolves, but tanker markets could still see a solid 2027.

Tanker | Shipping | Oil prices | Oil demand | Hormuz | Fuel | Diesel

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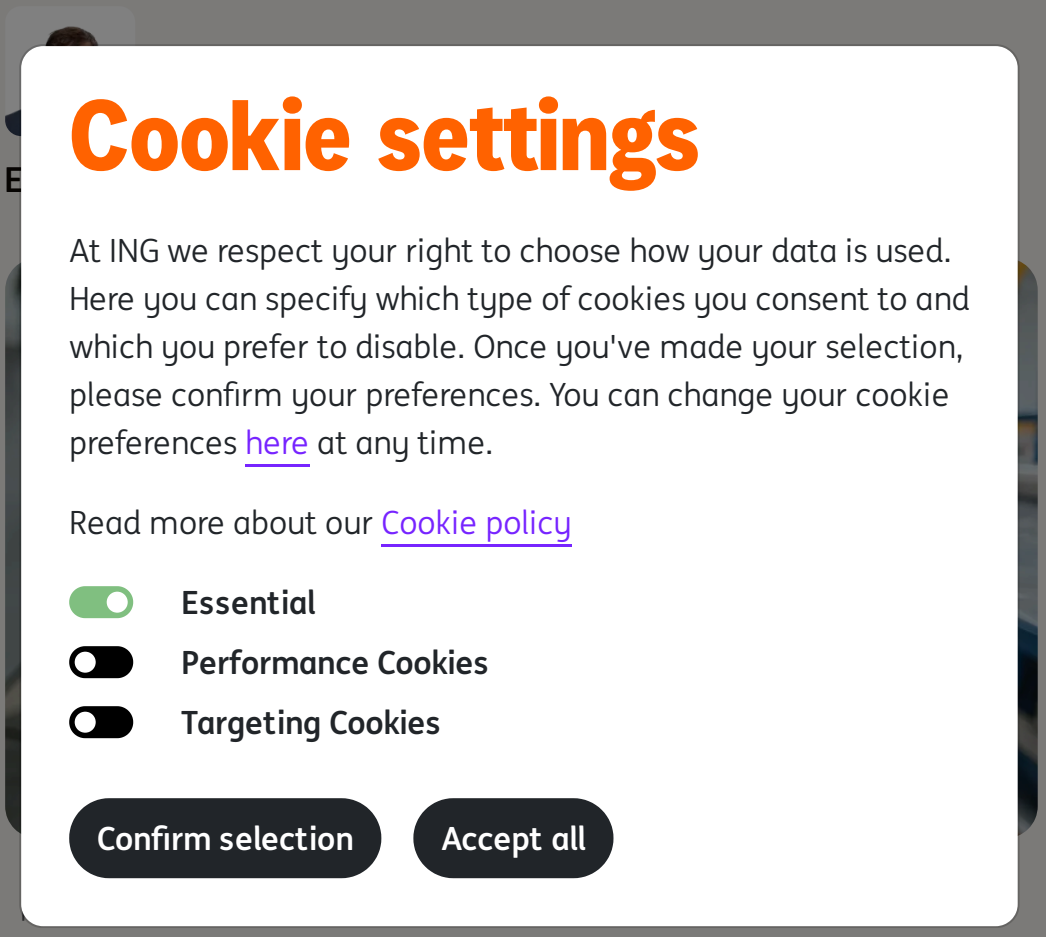
The Iran war has hit EU chemicals less severely than feared, with production, capacity utilisation and margins improving in recent months. But renewed import competition will cloud the outlook once Gulf oil and gas supplies to Asia recover. To reverse the industry's long-term decline, producers and policymakers must accelerate the green transition



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Boost from softer Asian competition

The Iran war has hit European chemical producers less severely than feared. After the first tariff shock in early 2025, demand initially rose as customers brought forward purchases amid supply chain uncertainty. The main boost, however, came from weaker imports. Damage to Middle Eastern plants and Strait of Hormuz blockades sharply reduced production and exports. About a quarter of regional polyethylene capacity was damaged, with repairs likely to take months.

Elsewhere in Asia, producers faced prolonged feedstock and energy shortages. Asia depends far more on Gulf oil, gas and raw materials than the EU does. Before the conflict, Asian countries sourced 40-90% of their oil from the region, compared with around 20% for the EU.

Earnings improve strongly, but production returns to previous level

Reduced competition and tighter supply conditions drove three consecutive months of growth in EU chemical production from February to April, while sharp price rises provided a significant b d a t B e M t r G

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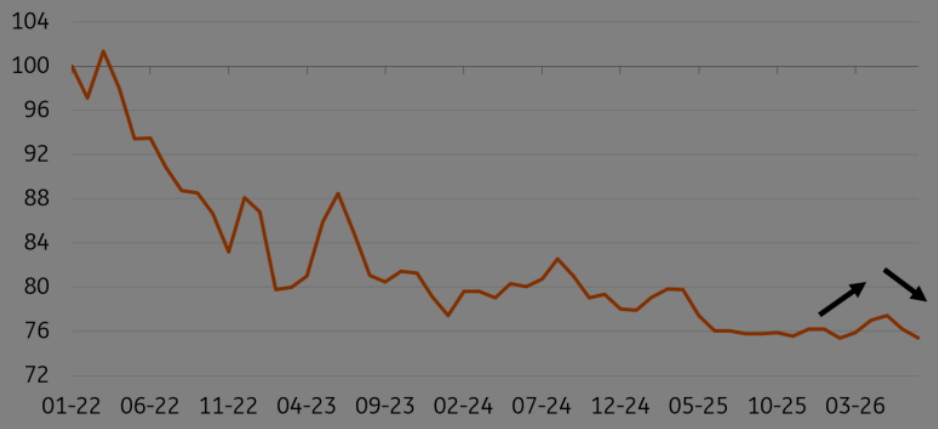

*seasonally adjusted production, 2-month moving average

Source: Eurostat

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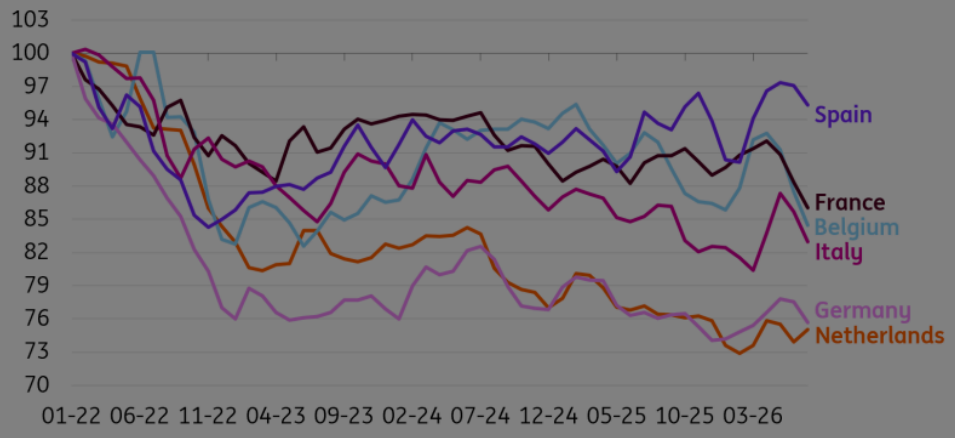
recovery funds have helped accelerate the expansion of renewable power capacity.

Spain's chemical industry has held up relatively well in recent years

Monthly production level of the chemical industry, January 2022 = 100*



*seasonally adjusted, 2-month moving average

Source: Eurostat

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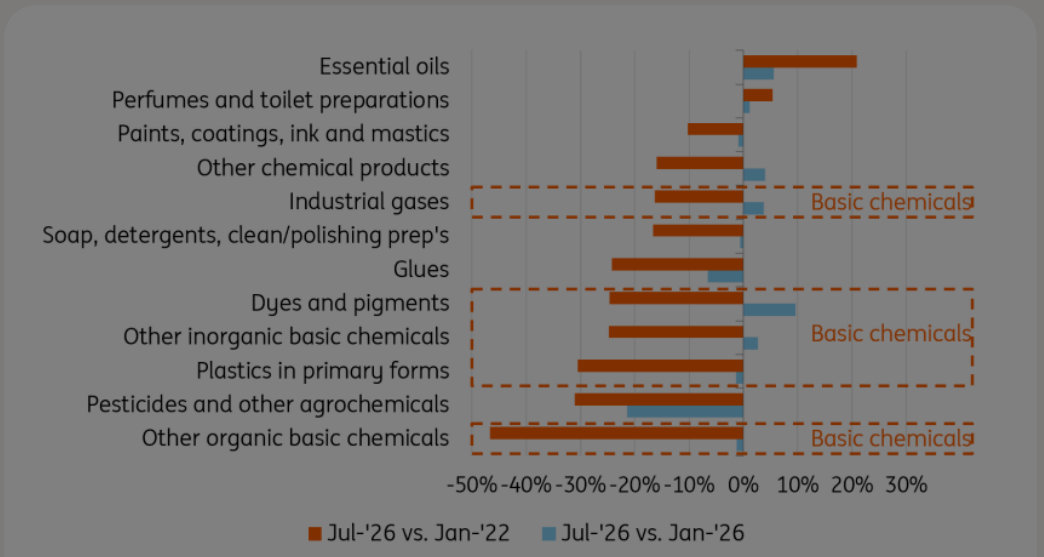
Consumer chemicals, including oils, extracts, perfumes and toiletries, are the only segments to have grown both since early 2022 and since the start of this year. These downstream products are less exposed to volatile energy prices and generate more value through innovation. Speciality chemicals such as paints, coatings and cleaning products sit between the two: output remains structurally weak but has declined less than in basic chemicals.

Basic chemicals have been the hardest hit in recent years

Output volume mutation per EU chemical subsector*



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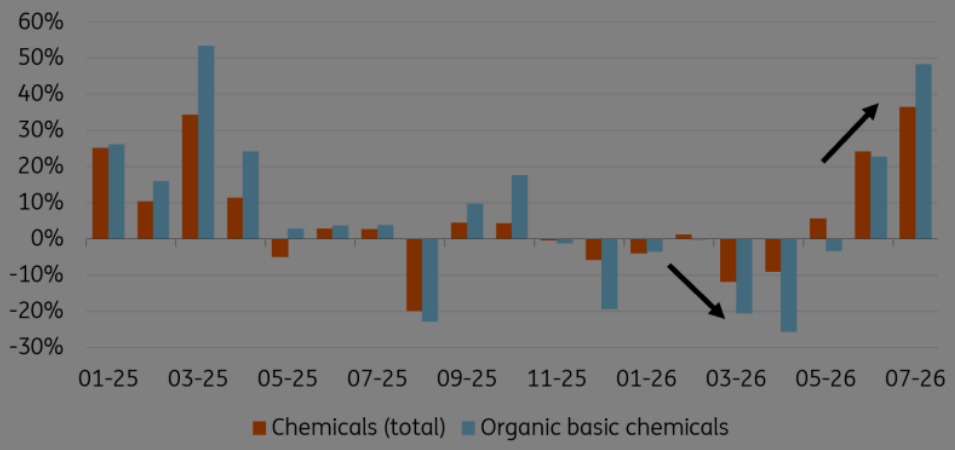
Rebound of organics setting the tone for chemical imports from China

EU imports of chemical products from China per month, % YoY



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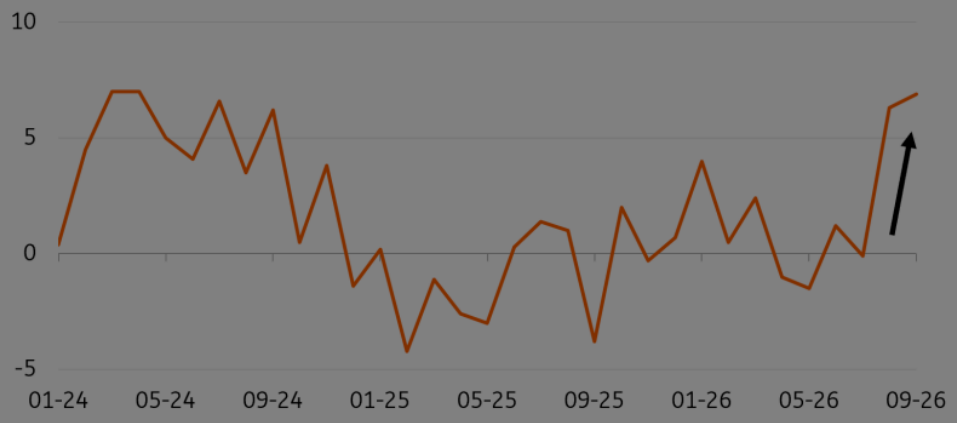
shipments through Hormuz have recently increased to almost 80% of pre-war levels.

Production expectations improve again

Production expectations for the months ahead, EU chemical industry



Source: European Commission

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a limited recovery in end markets. Higher energy prices squeeze consumer purchasing power, hitting consumer chemicals hardest. Speciality chemicals have better prospects as investment rises and the AI boom lifts demand for products and materials used in:

- Sustainability and electrification, including battery materials, chemical catalysts, flame retardants, lightweight resins and composites.
- Defence equipment, including reinforced plastic fibres, advanced coatings and lubricants.

- Semiconductors, including photosensitive polymers and ultra-pure speciality chemicals and gases.

Higher energy and feedstock costs will bite more gradually

Chemical prices closely track energy costs, so expensive and volatile energy will also make them higher and more volatile. Yet the steepest rise in selling prices appears to be over. Although most producers expected to raise prices in August and September, the expectations index was stable just below its long-term average – a far milder increase than after the Iran war began. This suggests s
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Selling price expectations for the months ahead, EU chemical industry

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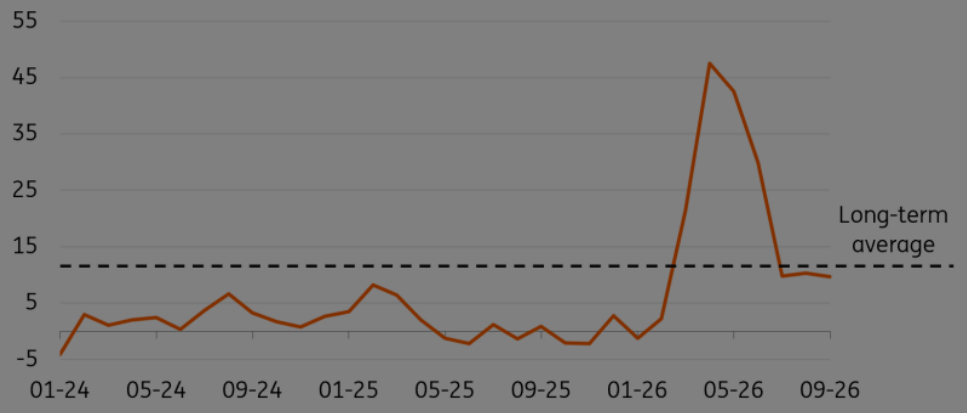

Source: European Commission

Structural problems will resurface

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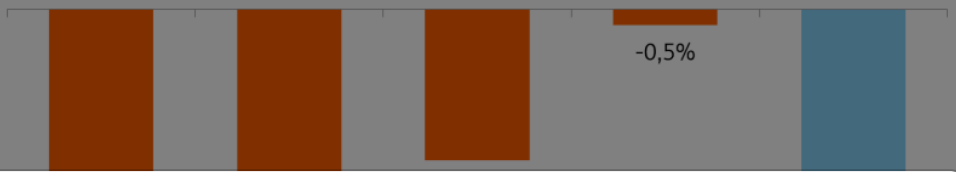
Restructuring wave is not over

Despite somewhat better market conditions this year, restructuring is likely to continue. Most major players have announced strategic interventions in recent years. Earlier this year, SABIC sold its European petrochemical operations, while Evonik is implementing a multi-year plan of divestments, closures and reorganisations. Ineos plans to close three UK chemical plants, and Shell wants to sell its entire chemicals division, including a major European cluster. European chemical capacity shrank by 30 million tonnes, or 7%, between 2022 and 2026. Announced plant closures increased sixfold over this period, while investment fell sharply. Petrochemical

capacity was hit hardest, down 11%, whereas specialty chemicals held up best, declining just 0.5%.

European production capacity structurally declining

% decline in European chemical production capacity, 2022-2025*



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electricity prices. In July 2026, the European Commission proposed extending the emissions-reduction pathway, modestly easing the cost increase, alongside more financial support for clean-technology investment.

CBAM offers only partial protection for EU chemicals

Fertilisers and hydrogen are covered by the CBAM levy, which protects against imports not subject to carbon costs. In return, free allowances for CBAM products will be phased out

faster, reaching zero by 2034. This will widen the cost gap between efficient, electrified installations and older fossil-based plants. Besides the faster phase-out, CBAM has several drawbacks for chemical companies:

- The levy can be circumvented when a chemical feedstock is covered by CBAM but a product containing it is not. This may encourage imports of finished or intermediate products from outside the EU. The European Commission's proposed expansion mainly targets downstream steel and aluminium products, not the wider chemical value chain.

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start Project One in Antwerp this year, introducing a modern ethylene cracker that initially emits less than half as much CO_2 as the EU's most efficient cracker and becomes climate-neutral within ten years.

Spain's Repsol aims to decarbonise its Tarragona complex through circular chemicals and methanol, large-scale green hydrogen and offshore CO_2 storage. In September, fertiliser producer Yara began shipping liquid CO_2 from Sluiskil in the Netherlands to Norway for the permanent underground storage of 800,000 tonnes of CO_2 a

year by Northern Lights, a partnership between Equinor, Shell and TotalEnergies.

Such projects can quickly cost hundreds of millions of euros a year. The €5bn Project One has contributed to the doubling of INEOS's debt since 2021, while the group suffered a loss of more than €500m in 2025. Chemicals are therefore widely seen as a hard-to-abate sector. Governments often co-invest, but poor operating conditions, inadequate green infrastructure and weak demand for sustainable products still obstruct large-scale decarbonisation.

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dependencies therefore offers the sector welcome support.

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